2025 Employment Projections

Summary report

Key findings

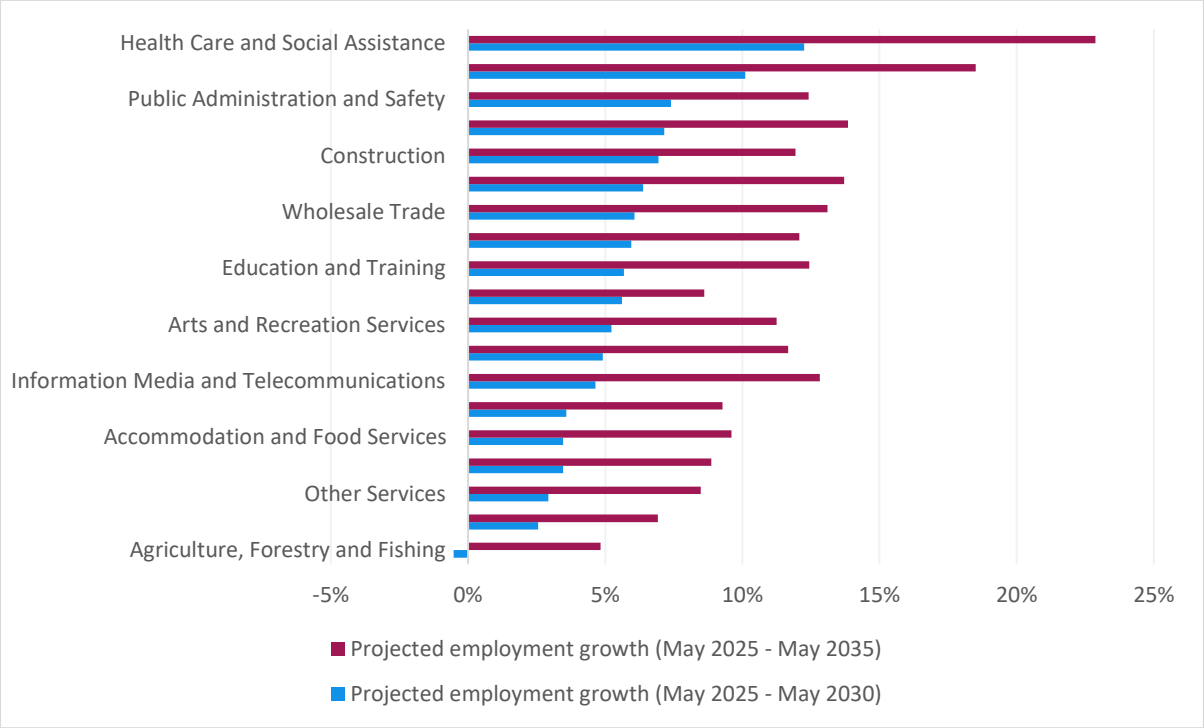
Total employment in Australia is projected to grow by 961,000 people (or 6.5%) over the next 5 years, and by nearly 2.0 million people (or 13.3%) over the next 10 years, reaching 16.6 million employed people by May 2035. This growth rate is in line with the projected growth of the population.

Industry Employment Outlook

Growth rates by industry allow us to examine how broad economic trends are changing the make-up of the Australian workforce. While all industries maintain their relative rank in terms of total employment across the coming decade (from the highest to lowest shares of employment), these projections show more employment growth in industries linked to services than goods.

- The largest industry (close to one in every six jobs in 2025), Health Care and Social Assistance, accounts for the strongest projected employment growth over the next 5 and 10 years. This growth is mostly driven by the above-average projected growth of the older population (those 65 and over), who are the main driver for increased demand for health services (Figure 2). Similarly, employment growth in the Professional Services industry is projected to be much faster than the national average
- However, Retail Trade, which accounted for 9.2% of total employment in May 2025, has one of the lowest projected employment growth rates over both the next 5 and 10 years. The gradual decline in the employment share of this industry reflects a variety of factors, ranging from; increases in expenditure on services relative to goods, rising housing costs and broader cost-of-living pressures
- Looking across industries, the services-related industries (roughly all except for the producing industries of Agriculture, forestry and fishing, Mining, Manufacturing and Construction) are projected to account for 84% of employment growth over each the next five and ten years

Figure 1: The long-term structural shift in employment growth towards services-related industries is projected to continue over the next 5 and 10 years



Employment outlook for states and territories

Employment is projected to increase in all states and territories over the 10 years to May 2035. Differences in employment growth rates reflect population and industry factors in each of the states and territories.

The largest increase in employment is projected for Victoria (579,500 persons or an increase of 15.3%), closely followed by NSW (576,800 persons or 12.7%), Queensland (401,700 or 13.3%), and WA (227,400 or 13.6%)

Table 1: Employment is projected to increase in all states and territories over the 10 years to May 2035.

State/ Territory	Baseline		5-year outlook				10-year outlook			
					Change				Change	
	Employment ('000) May 2025	Share of total employment	Employment ('000) May 2030	Share of total employment	level ('000)	%	Employment ('000) May 2035	Share of total employment	level ('000)	%
NSW	4,555.4	31.0%	4,843.2	30.9%	287.8	6.3%	5,132.3	30.8%	576.8	12.7%
Vic	3,783.5	25.7%	4,071.0	26.0%	287.5	7.6%	4,363.0	26.2%	579.5	15.3%
QLD	3,015.6	20.5%	3,207.1	20.5%	191.5	6.3%	3,417.3	20.5%	401.7	13.3%
SA	969.3	6.6%	1,013.3	6.5%	44.0	4.5%	1,063.0	6.4%	93.7	9.7%
WA	1,674.0	11.4%	1,787.0	11.4%	113.0	6.8%	1,901.4	11.4%	227.4	13.6%
Tas	285.4	1.9%	294.6	1.9%	9.2	3.2%	305.8	1.8%	20.4	7.2%
NT	144.2	1.0%	149.9	1.0%	5.7	3.9%	157.3	0.9%	13.1	9.1%
ACT	273.6	1.9%	295.8	1.9%	22.3	8.1%	315.5	1.9%	41.9	15.3%
Australia	**14,701.0**	**na**	**15,662.0**	**na**	**961.0**	**6.5%**	**16,655.5**	**na**	**1,954.5**	**13.3%**

There are common trends in industry employment across the states and territories over the 10 years to May 2035, with a few key differences that reflect state-related factors.

- Health Care and Social Assistance continues to be the largest employing industry by share of employment in 2035 in all states and territories, except for the Australian Capital Territory where Public Administration and Safety is the largest.

- Professional, Scientific and Technical Services is projected to be the second largest employing industry in New South Wales and Victoria, contributing over 10% of employment in these jurisdictions.
- Construction is projected to be the third largest employing industry in New South Wales, Victoria and Tasmania and second largest in Queensland, South Australia and Western Australia.
- A range of state-specific industry patterns continue through the projection period, such as relatively strong growth in mining employment in Western Australia, key business-oriented sectors in New South Wales and Victoria, public administration in the ACT, and accommodation and tourism-related employment in Queensland.

Table 2: Projected industry employment growth rates continue to show some variation across states and territories

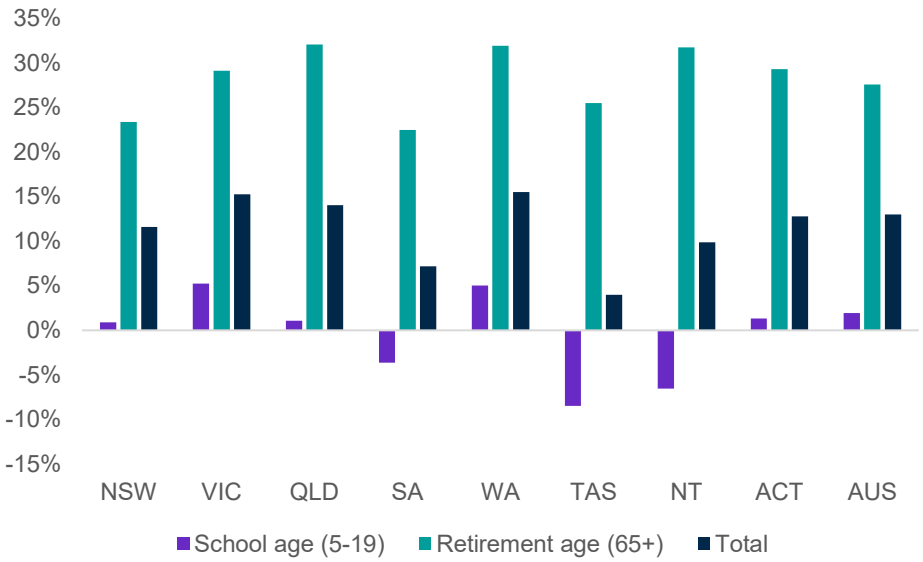
	NSW	Vic	QLD	SA	WA	TAS	NT	ACT	AUS
Agriculture, Forestry and Fishing	4%	5%	5%	5%	4%	8%	6%	11%	**5%**
Mining	6%	7%	6%	9%	11%	10%	10%	5%	**9%**
Manufacturing	12%	12%	11%	9%	12%	9%	3%	11%	**12%**
Electricity, Gas, Water and Waste Services	12%	13%	12%	11%	11%	10%	11%	13%	**12%**
Construction	13%	15%	11%	10%	6%	10%	5%	12%	**12%**
Wholesale Trade	13%	13%	13%	13%	13%	12%	12%	14%	**13%**
Retail Trade	6%	9%	7%	3%	8%	1%	3%	7%	**7%**
Accommodation and Food Services	9%	11%	10%	8%	10%	6%	8%	10%	**10%**
Transport, Postal and Warehousing	9%	9%	9%	8%	9%	8%	9%	10%	**9%**
Information Media and Telecommunications	13%	13%	12%	12%	12%	12%	11%	16%	**13%**
Financial and Insurance Services	14%	14%	13%	13%	13%	12%	12%	15%	**14%**
Rental, Hiring and Real Estate Services	14%	16%	13%	12%	11%	11%	11%	14%	**14%**
Professional, Scientific and Technical Services	19%	19%	18%	17%	17%	16%	17%	21%	**19%**
Administrative and Support Services	9%	10%	9%	8%	9%	6%	8%	9%	**9%**
Public Administration and Safety	11%	15%	13%	7%	14%	4%	8%	16%	**12%**
Education and Training	9%	17%	13%	4%	18%	-5%	3%	14%	**12%**
Health Care and Social Assistance	20%	26%	25%	16%	27%	12%	18%	23%	**23%**
Arts and Recreation Services	11%	13%	11%	9%	12%	8%	8%	12%	**11%**
Other Services	8%	10%	9%	6%	8%	4%	5%	9%	**8%**
Total	**13%**	**15%**	**13%**	**10%**	**14%**	**7%**	**9%**	**15%**	**13%**

Note: All figures are 10-year growth rates to May 2035

As Table 2 shows, almost all industries are expected to grow in each state and territory over the next decade. The exceptions to this are generally the industries most affected by slowing population growth – particularly when that slowing in the population groups influences underlying demand for services (for example, declining numbers of school aged children in Tasmania and reduced demand for employment in education and training).

This population outlook, taken from the 2024 Commonwealth Population Statement, also highlights the influence of population dynamics on employment trends across the economy. Much of the projected increase in Health Care and Social Assistance employment (the fastest growing sector overall) reflects population growth in older age groups, which will increase demand for health services in general, and residential aged care in particular.

Figure 2: 10-year state and territory projection growth shows above-average growth of the older population and weak growth of school-aged population, which is negative for TAS, SA and NT



Source: Centre for Population 2024, Population Statement: Population Projections, 2023-24 to 2034-35, the Australian Government, Canberra.

Employment outlook by Occupation

Changes in employment in each occupation can reflect the changing way that work is structured within each industry and businesses across Australia.

The increasing importance of employment in occupation groups of Professionals and Managers is projected to continue over the next decade. Currently, these two occupation groups account for 39.6% of total employment in Australia and this employment share is projected to increase to 41.7% by May 2035.

While Technicians and Trades Workers (the second largest occupation major group) is projected to increase by 195,800 (9.8%) in the next decade, this is less than the projected increase in total employment. As a result, their share of the workforce is projected to all slightly (from 13.6% in May 2025 to 13.1% in May 2035).

Figure 3: All major occupation groups are projected to increase in employment over the next 5 and 10 years with the largest growth among Professionals



The occupation major groups projected to experience the highest employment growth over the next 5 and 10 years include:

- Professionals (projected to grow by 456,900 persons or 11.6% to 2030 and by 845,300 persons or 21.4% to 2035). The occupations that are projected to have the strongest employment growth over the decade are mostly those in the health therapy area, with Physiotherapists (rising 33.6%) the most significant.
- Managers (projected to grow by 143,400 persons or 7.7% to 2030 and by 279,600 people or 14.9% to 2035). The occupations that are projected to have the strongest employment growth over the decade are: Health and Welfare Services Managers (27.1%), ICT Managers (25.5%) and Research and Development Managers (22.8%).
- Community and Personal Service Workers (projected to grow by 122,000 persons or 7.1% to 2030 and by 236,100 people or 13.7% to 2035). The fastest growth is projected in occur in Dental Assistants (26.8%), Nursing Support and Personal Care Workers (24.7%) and Ambulance Officers and Paramedics (22.6%).

Occupations with weak or negative projected employment growth are more often found in the groups of Clerical and Administrative Workers and Labourers. Many of these occupations serve as important entry points into the labour market, particularly for lower skilled workers.

Figure 4.1- Lowest 5 group level 2 occupations by projected employment growth over the next decade are more likely to be in the groups of Clerical and Administrative Workers and Labourers

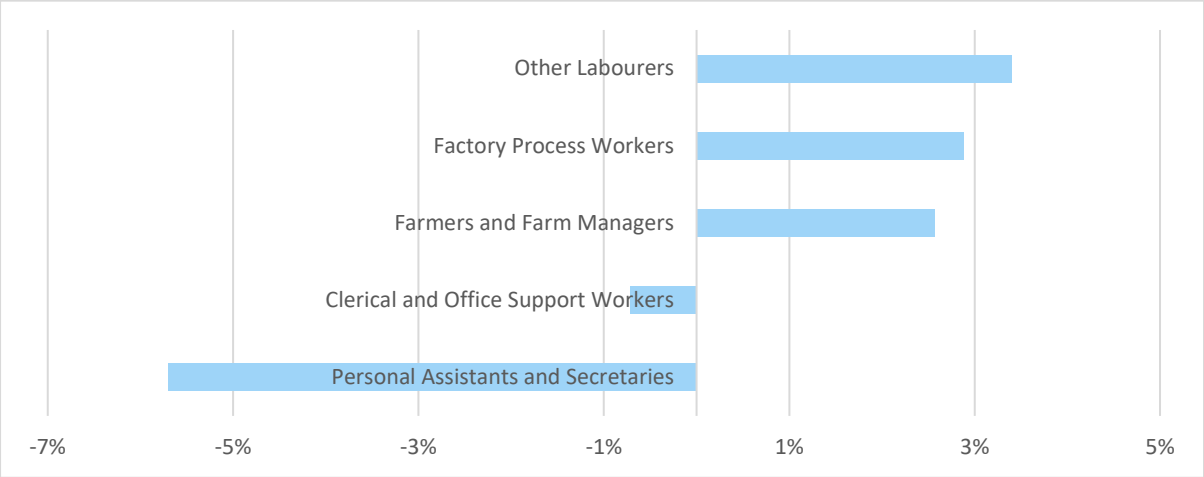
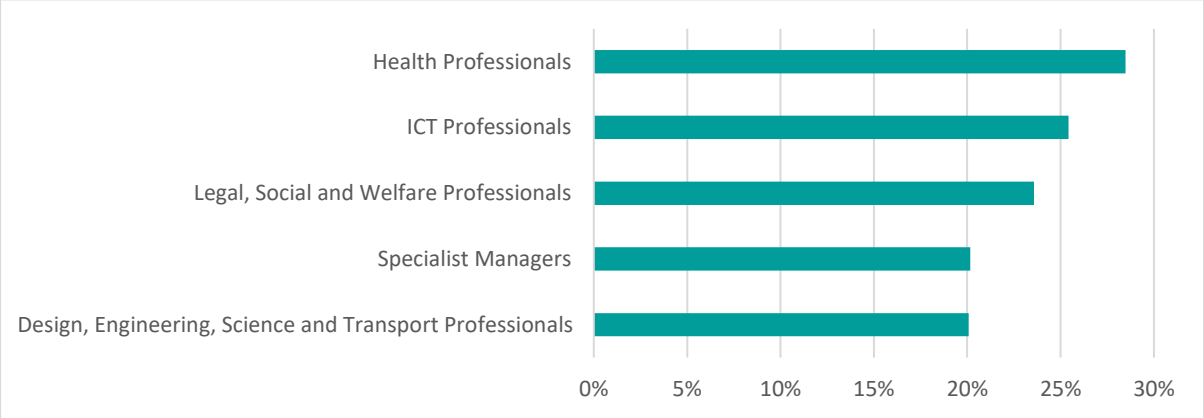


Figure 4.2 - Top 5 group level 2 occupations by projected employment growth over the next decade are mostly Professionals



Employment outlook by skill level

In recent years, most employment growth has been seen in jobs that typically require post-secondary qualifications. The 2025 projections suggest that this trend will continue, with more than 90% of the employment growth over the next 10 years in these occupations (skill levels 1 to 4).

Skill level 1 occupations accounted for more than a third of total employment in May 2025 and this share is projected to increase to 37.5% in the next decade. Given the relative strength in projected growth of skill level 1 occupations, a small decline is projected for occupations where VET is more commonly the primary pathway (skill levels 2 to 4).

Table 3: Employment projections indicate that jobs requiring higher education (bachelor degree and above) are in high demand and estimated to have the highest growth rate in the next decade

Skill Level	Baseline		5-year outlook				10-year outlook			
	Employment ('000) May 2025	Share of total employment	Employment ('000) May 2030	Share of total employment	Change level ('000)	Change %	Employment ('000) May 2035	Share of total employment	Change level ('000)	Change %
Skill Level 1	5,181.1	35.2%	5,755.7	36.7%	574.7	11.1%	6,243.1	37.5%	1,062.0	20.5%
Skill Level 2	1,793.5	12.2%	1,886.7	12.0%	93.2	5.2%	1,999.0	12.0%	205.5	11.5%
Skill Level 3	2,152.2	14.6%	2,231.4	14.2%	79.2	3.7%	2,337.1	14.0%	184.8	8.6%
Skill Level 4	3,562.3	24.2%	3,751.9	24.0%	189.6	5.3%	3,955.8	23.8%	393.5	11.0%
Skill Level 5	2,011.9	13.7%	2,036.2	13.0%	24.3	1.2%	2,120.5	12.7%	108.7	5.4%
Australia	**14,701.0**	**na**	**15,662.0**	**na**	**961.0**	**6.5%**	**16,655.5**	**na**	**1,954.5**	**13.3%**

Note: Skill level 1 relates to bachelor's degree or higher qualification; Skill level 2 relates to advanced diploma or diploma; Skill level 3 relates to Certificate IV or III (including at least 2 years' on-the-job training); Skill level 4 relates to Certificate II or III; Skill Level 5 relates to Certificate I or secondary education.

How to use these projections

The ten-year employment projections have been calibrated to the demographic, macroeconomic and labour market outlook provided by the Australian Treasury and are available by industry, occupation and state/territory.

Like any model, these JSA projections are based on assumptions and contain a degree of inherent uncertainty. They should be used as indicative of the future trends based on our current knowledge, rather than a precise prediction of the future. Those projections are not forecasts as they are based on the existing past trends and underlying assumptions as mentioned above, not specific future-oriented factors.

The starting estimate of employment is based on JSA's Labour Force Trend data for May 2025. While this JSA trending process reduces some of the imprecision and volatility, it is important to recognise that it cannot completely address these factors, particularly for smaller industries and occupations (which may be subject to high volatility in underlying data), those with strong seasonal patterns, or those where there are high rates of multiple jobholding. In these cases, it is more useful to focus on the relative rates of employment growth, as a guide for projected change, rather than focusing too strictly on the estimated level of employment.

More information on latest trends and methodology is here: Labour Force Trending | Jobs and Skills Australia

These projections are based on existing trends that are being observed in the economy. They do not currently reflect the labour market implications of the adoption of generative AI and other emerging technologies. Information on these early and emerging labour market implications of generative AI can be found in the recent JSA study, in Our Gen AI Transition | Jobs and Skills Australia.